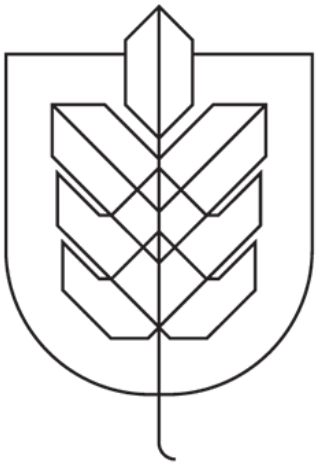


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A2-2. Venture Business Plan in Word

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Executive Summary

HW Electro is an electric vehicle (EV) venture-stage company headquartered in Tokyo and specializes in speeding up the adoption of EVs by developing small and practical solutions to last-mile logistics, small business fleet uses, and municipal applications. The near-term plan of the company is focused on commercialization of light commercial EVs that suit the operating conditions in Japan, such as short, repetitive routes, limited urban areas, and fleet purchasers who are more focused on uptime and total cost of ownership (TCO) than on consumer functions. The product and service concept that HW Electro will have is aimed at minimizing the two largest barriers to commercial electrification adoption of confidence in operating economics and confidence in after-sales support.

Their business plan will focus on the capital-efficient operating model that will utilize partners to manufacture and cover the whole country with maintenance as HW Electro will focus on internal operations by localizing the products, ensuring quality, executing through distribution channels, and a connected-vehicle platform (MyHWE). This design will retain fixed costs down and enable the firm to grow at a higher rate than an integrated car manufacturer. The plan has a greater emphasis on quantifiable fleet results, which include vehicle uptime, repair turnaround, part availability, and pilot to repeat, as these are the metrics that directly influence the growth of the orders of fleet customers.

Market-wise, HW Electro is focused on the commercial, so-called, micro-mobility layer of logistics in which EVs have structural advantages: high stop-and-go traffic, consistent yearly coverage, and charging methods at the depot. Competition is growing as both legacy OEMs and new entrants continue to add commercial EV solutions, so the differentiation HW Electro offers is based on practical fit, fleet-configurability, confidence that the software will be serviced, and the incremental rollout of software-enabled fleet visibility that can increase customer retention and value over time.

In financial terms, this venture has a classical venture-size profile near term losses due to growth investment and operating scale-up, then an inflection later due to volume gains as the level of fixed costs paid off. Both relative (public comparable multiples) and intrinsic (DCF) methods were used to get the valuation. The resulting range of values generated by the comparable-multiples analysis is very broad given that the business is priced as a revenue-growth story (P/S and EV/ Sales) or as a near-term profitability story (EV/EBITDA). The more conservative intrinsic benchmarks that are offered by the DCF models are associated with high venture discount rate and heavy reinvestment.

The exit strategy will conserve optionality: (1) IPO option in case the company could prove repeatable fleet adoption, fleet relationships, unit economics improvement, and report maturity; (2) a subsequent recapitalization option in case cash flows are stable to support structured financing; and (3) a subsequent acquisition pathway in case a large OEM or ecosystem player would consider HW Electro access to the segment, fleets, and partner-enabled service model. Altogether, the plan makes HW Electro a scalable commercial EV business that will win due to the combination of disciplined execution (service and quality) with capital efficiency and the path to software-enhanced fleet economics.

Section II: Business Description — HW Electro Co., Ltd. (Pre-IPO Venture Stage)

2.1 Description of the Product or Service

HW Electro Co., Ltd. (HW Electro) is an electric mobility start-up that involves light commercial vehicles (LCVs) specifically designed to suit congested Japanese cities and short-length commercial applications (i.e., last-mile delivery, small trades, municipal fleets). The company does not simply offer a vehicle, but a mobility package that offers (1) EV products that have been optimized to meet the size and regulatory requirements of Japan, (2) an after-sales/service ecosystem through strategic partners and (3) an emerging software layer to provide fleet visibility and operations.

Core product lines (current + planned):

- ELEMO series (commercial micro-EVs): A series of small EVs that are targeted at urban logistics and small business, with models that fit the requirements of the Kei class in Japan.
- PUZZLE (planned micro-van platform): A notion / next-gen vehicle that is based on modular simplified manufacturing and practicality-based resilience (e.g., onboard power, connectivity).
- Service + support (partner-enabled): HW Electro will use the go-to-market strategy to reduce the service anxiety of the fleet buyer by ensuring that it has a large automotive service presence through partners, not by constructing its own service centers.
- Fleet software layer ("MyHWE concept): An incumbent platform that is supposed to allow fleet monitoring (battery status, charging status, positioning) and, in the longer term, to use cases of operational optimization.

Value proposition (why customers buy):

1. Operational fit in Japan: Vehicles fit in tight roads, high stopping frequency, and small depots.
2. Pathway to lower operating cost: EV fleets will be able to lower their exposure to fuel and can be used with depot charging and route planning.
3. Fleet-ready + support, Fleet telemetry covers in the case of fleet telemetry, downtime risk is lower than in scenario 3, which is the case of unknown startup EVs.

2.2 Industry Background

2.2.1 Japan's logistics disruption ("2024 Problem") is a structural demand driver

The demographic ageing coupled with regulatory reform have been the twin stressors on the trucking and logistics of Japan. One such catalyst has been the so-called 2024 Problem, or the effect of stricter truck-driving labor regulations (especially the overtime hour limit), which causes a decrease in the effective transport capacity and compels logistics operators to re-design their networks and make the last-mile efficient.

This is important in the case of EV-LCV providers since last-mile delivery (a) represents the most density- and stop-intensive type of route (where EV efficiency can be high), and (b) the location where fleet managers diligently pursue productivity improvements when labor is limited. HW Electro specifically focuses on such an intersection, which is the urban last-mile efficiency + decarbonization.

2.2.2 The Kei vehicle segment shapes product design and economics

The mini (Kei) category of the Japanese vehicles has a significant impact on the purchasing of the fleet since it is built in the form of ultra-compact vehicles with structural ownership benefits such as tax, parking, and operating convenience. A significant portion of the new-vehicle market in Japan are Kei vehicles, which are often quoted as one-third or more of sales, varying by the time of the year and definition.

This provides a strategic niche to a venture such as HW Electro: in case it can provide a compliant Kei-class or Kei-close EV solution with viable range/payload and stable service support, it can offer its services in a high-volume segment that historically was dominated by incumbents on internal combustion.

2.3 Private Firm Background

2.3.1 Company overview and mission

Based in Tokyo, HW Electro was established in 2019 as a dedicated EV venture based on commercial micro-mobility and logistics efficiency in Japan with a particular interest in last-mile operations and more generally on the theme of social infrastructure (including resilience/disaster preparedness).

2.3.2 Business model: "fabless automaker" + partner ecosystem

Another characteristic of the HW Electro business model is the asset-light (fabless) business model: the company does not manufacture much of its product, but holds ownership of branding, product strategy, localization, and (increasingly) platform services. This strategy will minimize initial capex cost and accelerate the time to market, but creates risks of dependency to partners and supply-chains.

One signifier of the ecosystem positioning of HW Electro is that it is linked to the Cenntro vehicle platform known as the Metro, where the Metro is mentioned as being localized/marketed in Japan as the ELEMO brand (e.g., ELEMO-K), with commercial alliances.

2.3.3 Strategic partnerships and service footprint logic

Since the adoption of commercial EVs is limited by the issue of maintenance and downtimes, the strategy of HW Electro is based on the relationships with partners to cover the services and gain the trust of fleet buyers. According to publicly available information about Autobacs, Japan and other countries have a substantial network of multi-stores and this fact justifies why forming an alliance with a large chain would ease the pace of adoption of a smaller EV entry.

2.4 Goals and Milestone Objectives

The short-term goal of HW Electro is to demonstrate that it is capable of transforming initial enthusiasm on compact commercial EVs into scalable, repeat successful fleet adoption. The priorities of the business in the initial six to twelve months must be (i) pilots to contracted fleet orders and (ii) ensuring that the fundamentals of operations around which the fleet will re-order decisions are made, i.e. (i) vehicle uptime, (ii) parts availability, and (iii) service turnaround time. The milestone that matters most at the beginning is not actually the number of deliveries but rather the consistent performance in the field (e.g. reducing service lead times and increasing fleet satisfaction). Since commercial customers purchase both the risk of downtime and the vehicles, the delivery quantity is actually a secondary priority in the initial phase. This phase is concerned with proving a repeatable go-to-market movement instead of pushing volume regardless of the cost.

The milestones of HW Electro should change in the middle-term (approximately between months 12 and 36, as reflected in Figure 4) to transition to pure commercialization and get the depth of monetization. It involves standardizing the partner-enabled service ecosystem into a predictable operating system (training of technicians, standardized maintenance processes, warranty processes and parts inventory policies), combined with raising the rate at which it software layer bonds its fleet. This is aimed at transforming the current model of selling hardware to a relationship model whereby customers get recurrent value in terms of visibility and fleet management tools, which also provides HW Electro with recurrent revenue prospects and enhanced customer retention. This is also the range of time operationally that the company should assess the unit economics by cohort how the margins and support costs vary with fleet size.

An analogous landmark is product roadmap implementation, more particularly, the gating choices regarding upcoming generation platforms such as PUZZLE. Within a 2460 months perspective, HW Electro ought to establish evident engineering and commercialization checkpoints that dictate new platforms proceed: design-for-manufacturability, regulatory/homologation developments, target bill-of-materials economics, pilot production results and verified customer demand (e.g. letters of intent or pilot-agreements associated with a specified set up). This lowers the chance of living more ahead of the market and enforces unpopularity: new vehicle programs proceed only when they enhance the economic sense, buy value and manufacturing viability compared to the existing lineup.

Section III: Marketing Plan and Strategy (HW Electro)

3.1 Target market and customers

The Japan market segments that are considered to be the wedge market of HW Electro are light commercial vehicle (LCV) market, or to be more specific, kei-class commercial vans/trucks that exist in short and repetitive routes (last-mile delivery, service calls, campus/industrial site logistics). This structurally is a good idea since kei cars comprise a big share of the auto market in Japan (about a third of all sales, according to Reuters) and this implies that customers already plan their routes, parking and operation processes around the size of kei cars.

Logistics constraints are also bringing in demand tailwinds. The issue of the 2024 problem (new overtime restrictions on truck drivers) in Japan is much debated as a driver of efficiency improvements such as route optimization, depot-based operations, and alternative delivery models all of which is biased to the use of smaller and predictable route commercial EV applications.

Regarding customer persona perspective, HW Electro will be selling mostly to fleet operators and SME owners (not single consumers): the economical customer is usually a fleet/operations manager or business owner, who is concerned with uptime, operating cost, and service coverage. The product positioning of the company is most robust in the areas, where EVs can perform their best: the high density of the stop-and-go traffic, the usual daily mileage, and the centralized charging.

3.2 Competition and market share

The level of competition is increasing with the growth of electric kei/LCV services by legacy OEMs and new ones. Direct competitive mentions in the own investor material of HW Electro cover Mitsubishi Minicab-MiEV, Honda N-VAN e:, and other EV commercial kei/LCV players. Meanwhile international OEMs are examining the segment - BYD, according to Reuters, is planning to introduce a kei-class EV to Japan, putting pressure on prices and specifications.

Since HW Electro is a start-up, any market-share assertion must be put in its proper perspective. One justifiable manner to describe it in the report is: HW Electro enjoys early-mover positioning in imported electric light commercial vehicles and contests in a market which has few scaled sellers (IPO research summaries have said that the company was one of a small group of sellers when the prospectus was launched).

This is a strategic move in favor of a niche-first strategy: conquer subsegments where personalization, access, and service assurance are more important than brand strength.

3.3 Pricing strategy

The pricing of HW Electro must be along the lines of value-based pricing (TCO-led) and not heavy sticker price-led. In its SEC free writing prospectus (HW Electro), ELEMO-K has a purchase price range of between $18,472 and 22,500 and specifically makes a comparison of daily operating cost and a gasoline peer (example math indicating the cost of EV energy per 120 km and gasoline).

In the plan, you can translate that into a pricing framework:

- Entry price competitive enough to secure pilot fleets (1–5 vehicles).
- Expansion pricing tied to volume + service plan attachment (predictable uptime is a major adoption barrier for new OEMs).
- “Platform attach” strategy using MyHWE to demonstrate fleet visibility and justify a recurring service fee over time (remote monitoring of battery level, charging status, and vehicle location is described in third-party coverage).

This pricing rationale equally applies to the consumers of the public sector: cities are interested in resiliency and emergency preparedness, where EVs (V2L power, connectivity) are integrated into a larger operating-value bundle instead of a vehicle-only buying judgment.

3.4 Promotion and distribution

The go-to-market that HW Electro uses can be characterized as the B2B field sales and the partner-enabled distribution/service. An important distribution/credibility advantage is its complement with Autobacs Seven (a leading automotive retail/service competitor). Publishing in and around this ecosystem refers to the dynamics of collaboration/partnering (and the scale of Autobacs is mostly used as an excuse why customers should trust that it can provide maintenance access).

Section IV: Operations and support

The operating model of HW Electro is created to remain capital-light and at the same time provide a complete automaker experience to the customer base. Rather than developing and operating a vertically integrated factory presence, HW Electro contracts with a vehicle manufacturer that does all the manufacturing and focuses internal resources on (i) localizing and securing quality assurance to the Japan market, (ii) executing sales to fleets and small business buyers, and (iii) scaling an after-sales ecosystem to a national service provider and an integrated-vehicle software stack. This fabless arrangement saves on fixed costs and time-to-market, but also causes quality administration, logistics reliability, and services coverage to be the crucial factor in success in terms of customer retention and brand credibility.

4.1 Quality Targets

Since HW Electro is using an outsourced manufacturing partner, its quality specifications must focus more on the disciplines of inspection, reliability results and closed-loop enhancement, instead of manufacturing throughput. In operation, there are three gates in quality management: (1) the pre-shipment supplier QA (manufacturing partner), (2) the inbound inspection and Japan localization QA (HW Electro-controlled) and (3) the post-delivery field performance monitoring (service network + telematics).

In the case of a commercial EV targeting the last-mile logistics applications, quality objectives are to be set in practical, quantifiable KPIs that are relevant to fleet managers: first-pass inspection yield at localization, early-life failure mode (e.g. 0-90 days), battery and charging reliability (charging fault-per-1000-sessions), and vehicle uptime (days in service vs. days down). HW Electro must also establish KPIs of service quality, including average repair cycle time, parts fill rate, and preventive maintenance adherence, as, in the case of fleets, service anxiety is often even more of an acquisition barrier than the vehicle specifications.

4.2 Technology Requirements

The technology needs of HW Electro are focused on two objectives: (1) provide a reliable commercial EV platform which can suit the conditions of Japanese operations and (2) create an even more software-intensive ownership experience that would minimize downtime and enhance fleet utilization.

The operational requirements on the vehicle side are, on the one hand, reliable battery management, support for depot charging behavior, documentation of this behavior, and, on the other hand, diagnostics that can be utilized by third-party technicians. The software layer HW Electro provides on the enterprise side will be one of the operational asset: the MyHWE platform will be capable of delivering fleet-relevant telemetry: battery state of charge, charging status, and vehicle location allowing the customers to manage routes, charging schedules, and asset utilization more effectively.

With the expansion of the fleet base, HW Electro must position cybersecurity and data governance as operational needs (not operational luxuries). It implies well-defined user roles (driver vs. dispatcher vs. admin), data security, audit, and a straightforward integration routeway of fleet customers using already existing logistics or routing systems. In the long-term, such capabilities also contribute to a strategic change of recurrence of software/service revenues which can decrease the reliance of the venture on the sale of a vehicle in a single instance.

4.3 Service Support

The area where HW Electro could borrow scale without having to construct it is service support. One of the main operational pillars is the partnership with the Autobacs that is offering a wide base of maintenance on the footprint of more than 1,600 facilities that will assist HW Electro to answer the inquiries of customers on who will maintain and repair the vehicles across the country.

Operationally, the model is effective in cases where HW Electro standardizes three factors: (1) training and certification of technicians on EV-specific service tasks, (2) parts logistics (forecasting, stocking levels and replenishment cadence) and a tiered support process to route the issues efficiently (remote triage → scheduled service → escalation of complex faults). A service system must be built around fleet realities, i.e. quick turnaround, scheduled maintenance cycles and little interference with normal routes. The significant benefit of including MyHWE telemetry in the support processes is also a novel opportunity to detect the problems in advance, minimize the cases of no fault found services and order repairs by their operational contribution (i.e., the most actively used vehicles are fixed first).

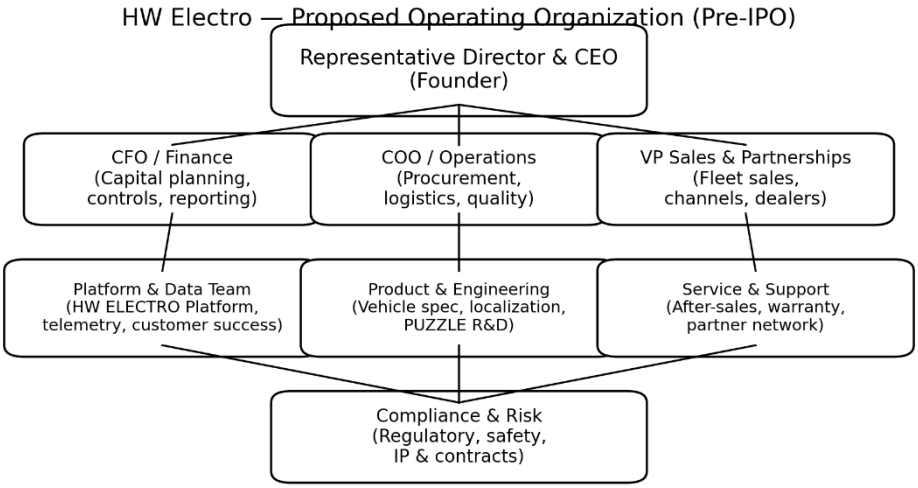
Section V: Management Team (HW Electro)

5.1 Experience and expertise

HW Electro is guided by the founder, Weicheng Hsiao, the Representative Director and Chief Executive Officer of the company since May 2019 (Boardroom Alpha profile; company disclosures). Being a pre-IPO venture in a capital-intensive sector, strategy and fundraising, as well as partner management and execution risk, are core challenges of the CEO position since HW Electro model relies on outside manufacturing, cross-border procurement, and localized commercialization in Japan.

In terms of finance and control, Bo Lyu is listed as CFO / Director of Finance (since 2024) in the list of top managers in the company, which suggests that the company has already started building financial leadership before the transition to the public market and large volumes of operations. Practically, the management capabilities that should be mandatory in the next level of HW Electro are: (1) supply chain and quality control (since manufacturing and logistics are significant risks in the business), (2) channel building (fleet customer, distributors, strategic partner), (3) software/platform execution (to create recurring revenue), and (4) finance and compliance that is suitable in the IPO-track company.

5.2 Organizational structure



Because HW Electro is still relatively small, it benefits from a **lean structure with clear accountability** across (i) operations/procurement/quality, (ii) sales & partnerships, (iii) product engineering and localization, and (iv) platform/software, with compliance and risk management as a cross-functional layer. This is aligned with how the company positions itself in its offering materials: **importing and selling electric light commercial vehicles**, while also developing a **platform service** and planning to commercialize its first originally designed vehicle ("PUZZLE") in the second half of 2026.

5.3 Governance and oversight (board/independence)

Governance quality is also important to venture investors as it influences access to capital, risk management and discipline in execution. In the investor presentation to the SEC by HW Electro, the firm names several independent directors and explains the interaction of committees (e.g., nominating and audit/supervisory)

and gives some background on directors such as Yuri Konno and others, which supports the notion that governance has been institutionalized to pursue an IPO route. The build-out of this type of governance is particularly necessary considering (a) supplier concentration risk, (b) the product safety/quality risk, and (c) regulatory risk of the auto industry.

5.4 Intellectual property rights (and what to highlight in the plan)

The defensibility of HW Electro is rooted not in the possession of massive manufacturing resources but more in brand positioning, software positioning, design positioning, and ecosystem positioning. In the materials of the offering, the company focuses on (1) its vehicle portfolio and (2) the HW ELECTRO Platform Service, having a clear idea to upgrade the platform to diversify the revenue sources in the course of time. The IP strategy can be presented in the written plan as a viable stack:

- Trademarks/branding: product and platform names (e.g., ELEMO line, PUZZLE, HW ELECTRO Platform).
- Software IP: fleet/driver management workflows, telemetry, routing/operational analytics (platform features and roadmap).
- Design protection: potential design patents for exterior/interior modularity and commercial-vehicle utility features (where applicable).
- Contractual IP control: supplier/manufacturing agreements that protect proprietary specs, localization requirements, and platform integration.

Section VI: Financial Plan and Valuation (HW Electro)

6.1 Financial performance and key assumptions

The financial plan has been constructed as an annual projection that represents a curve of venture-stage commercialization with the heavy initial operating losses due to operating scale-up, product development, and market entry costs and then has a later inflection in the scale of delivery and absorption of the fixed costs. The model is back-end loaded in terms of profitability (EBIT is negative until the early 2030s, after which it will become positive), which is typical of the economics of commercial EV enterprises that will have to invest (i) in inventory and working capital, (ii) in localization and quality initiatives, (iii) in service preparedness, and (iv) in the development of software/platforms before achieving a steady-state scale.

Other important baseline assumptions applied throughout the statements and the valuation consist of a tax rate of 21 percent, a target capital analysis of 0.10 debt to equity and debt amount held relatively steady, at a point of approximately, 4.1 million (assumed book value = market value). These assumptions make the discount rate conservative on a venture-stage firm and the DCF framework is consistent with the long-run capital structure desired by the company as opposed to the volatility of short-term financing.

6.2 Cost of capital and discount rate (private equity / venture risk)

Inputs.		($ million, %, times)
	Tax rate (comparables and the firm)	21%
	Current BV of debt (assuming = MV)	4,100
	Debt held constant (MV)	4,100
	Debt to equity ratio of the comparables (MV)	1.22

Target debt to equity ratio of the firm (MV)	**0.10**
Levered Beta of comparable firms	1.14
T-bill (Average)	4.5%
Debt rate	20.00%
Market Risk premium	6%
Additional Private Equity Risk Premium (IRM, DRP…)	10%
Constant Growth rate after year 6 (2029)	2%

Discount Rate.		
	Unlevered Beta (comparables and the firm)	0.58
	Levered Beta (the firm)	0.63
	Cost of Equity (CAPM, unlevered)	17.99%
	Cost of Equity (CAPM, levered)	18.27%
	WACC	**18.04%**

Since HW Electro is a private and early-stage company, valuation involves a public comps -unlever -re-leverage method to determine an equity beta to suit the risk associated with the business but does not suffer distortive effects of the capital structure of the comparables. The depository with a similar set (global commercial vehicle manufacturers) generates a market-cap weighted levered beta of approximately equal to 1.14 and a market-cap weighted D/E of approximately equal to 1.22. At a tax rate of 21, the unlevered beta of unlevering is nearly 0.58. A levered beta of HW Electro of T = 0.63 is obtained by re-levering this beta to its target D/E = 0.10.

The cost of equity is derived based on CAPM input and a specific premium, which is dedicated to liquidity, execution risk, and financing risk. The levered cost of equity will be approximately 18.27 per cent (unlevered cost of equity of 17.99 per cent) at a risk-free rate of 4.5 per cent, market risk premium of 6.0 per cent and private equity risk premium of 10 per cent. The WACC of the model is blended to 18.04, which is comparable to the low target leverage, and high equity risk that denotes venture-stage mobility companies.

6.3 Relative valuation (comparable multiples)

Relative valuation is used to triangulate equity value based on market pricing of mature commercial vehicle peers. The model applies weighted average multiples to HW Electro's target-year fundamentals (USD '000): Sales = 228,629, Book Value = 67,893, Earnings = 5,581, EBITDA = 6,963. The market-derived multiples used are approximately: P/S 1.06, P/B 2.37, P/E 18.20, EV/EBITDA 7.17, and EV/Sales (recent deals) 2.50.

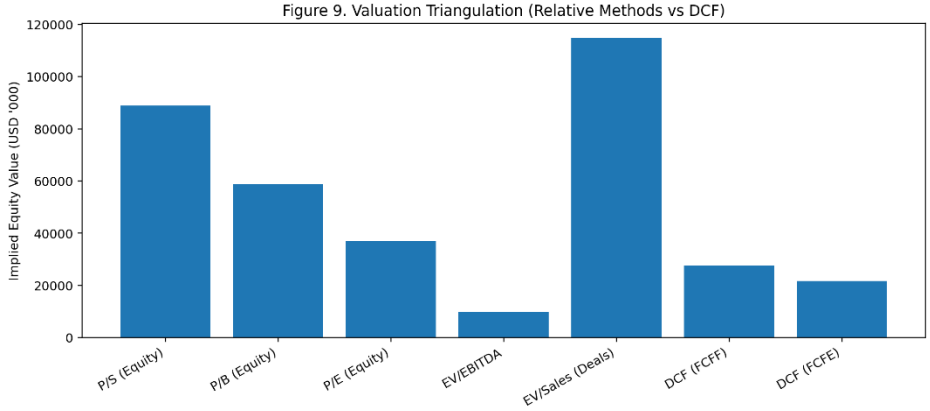
This generates a wide implied equity value range at the target year (USD '000):

- P/S: 243,045
- P/B: 160,895
- P/E: 101,582
- EV/EBITDA: 27,404
- EV/Sales (deals): 313,959

The present values (USD 000) are between, approximately, 10,015 (EV/EBITDA) and 114,739 (EV/Sales) discounted at the modeled venture cost of equity. The scatter plot is not a surprise: businesses with low or no

growth investments at an early stage, or at the scaling stage, can appear to be cheap on an EBITDA-based multiple when growth takes a major hit on near-term profitability, and may be high-valued on a revenue-based multiple when growth perspectives and strategic optionality are important. The revenue based and deal based multiples (P/S and EV/Sales) are the most decision-useful comparables in the case of HW Electro, with EBITDA multiples acting as a floor.

Figure 9. Valuation Triangulation (Relative Methods vs DCF)



6.4 DCF valuation (FCFF and FCFE)

DFS can be used to estimate intrinsic value by taking into consideration discounted cash flows of the business as opposed to market multiples. The free cash flow is accumulated using operating earnings and investment requirements:

FCFF = EBIT(1-tax) + Depreciation - Capex -Δworking capital.

The model then discounts FCFF at WACC (18.04) and applies a terminal value of perpetual growth rate of 2%.

In this framework, the model generates an implied Enterprise Value of approximately 31835 (USD 000). This implies an Equity Value of FCFF of = -27,735 USD 000 = = -27,735 USD 000 - = -4,100 USD 000 = = -27,735 USD 000/- -4,100 USD 000 = = -27,735 USD 000/- -4,100 USD 000 = = -27,735 USD 000/- -4,100 USD

A parallel FCFE strategy discounts the cash flows available to the equity holders at the levered cost of equity (18.27%). Implied equity value under the FCFE model is of approximately 21787 (USD 000). The difference between the FCFF based equity and the FCFE based equity is plausible due to the difference in timing of the reinvestment, work.

6.5 Funding needs and sources

The plan of HW Electro is based on a stage venture financing, as in capital-intensive commercialisation: product scaling, localization and quality systems, working fund, and software and services support are financed with multiple rounds. In the staged investment map (USD 000), equity inputs are made within a number of years (e.g., 6,405; 3,479; 21,863; 31,882; 32,187) which are then followed by equity proceeds upon exit.

Notably, the modeled exit/IRR schedule yields an unfavorable investor IRR (= -40%), which means that, at the current operating projections and exit value assumptions, the investors have not been adequately compensated with respect to risk. This can be (helpfully) diagnostically: to achieve a typical venture/private equity return premium, the plan needs to increase at least one of the following: (1) superior operating ramp (revenue and/or margins), (2) superior exit multiple (justified by growth and defensible) (3) lower capital

intensity (capex and working capital required is less) and/or (4) a superior financing structure (minimizes dilution and cash burn).

6.6 Possible problems and risks (valuation-impacting)

The main risks which play a role to determine the valuation of HW Electro include execution and scale risk (turning pilots into repeat fleet orders), operational risk (quality control and service uptime in a partner-dependent model), entry of OEM competitors to the kei/LCV EVs, and financing risk (the necessity of frequent capital raises before positive cash flows will be permanent). Since the inflection point of the cash flow in the model is back-end loaded, valuation is very sensitive on the assumptions on timing of scale, gross margin development, and extent of reinvestment needed to support growth.

Section VII: Timeline and Exit Strategy (HW Electro)

7.1 Staged financing plan (multiple rounds tied to milestones)

The financing plan of HW Electro ought to be based on de-risking events, which will unlock subsequent pool of capital at a high valuation. At the initial phases, funding can be most effectively structured in terms of (1) product validation and homologation, (2) scale-up of distribution and (3) fleet conversion contracts demonstrating repeatable demand. Since the business can be difficult to be lumpy (large orders by fleets or municipalities), HW Electro should match every raise with signed fleet contracts, dealer/service growth objectives, and the quantifiable unit economics (gross margin per vehicle, warranty cost per vehicle, and working-capital days).

One strategy is: Seed/early venture to settle product-market fit in the Kei-commercial niche, Series A/B to scale inventory, logistics, and software/telematics (MyHWE) and then a late-stage/strategic round when the business has proven a defensible distribution and maintenance footprint (of interest to fleet buyers concerned about service continuity). This capital budget is appropriate to the reality of HW Electro since it is a growth firm that needs to invest before revenues can be realized with sufficient liquidity to survive demand spikes and FX/import price fluctuations.

7.2 Operating performance and asset/financial resource efficiency

In the case of an early-stage mobility player, the fundamental issue is whether it is possible to grow without establishing a huge fixed asset base. HW Electro is planning to be capital-light by using partners and infrastructure instead of owning all these. Reduction in the service anxiety and warranty risk without building a proprietary service network is the most significant lever in efficiency. The partnership strategy employed by HW Electro, with the help of Autobacs extensive maintenance base, will provide national coverage in terms of support and save capital to develop products, stock, and attract customers.

As a financial resource management should be concerned with three areas (1) discipline in working capital as inventory and parts can drain cash very fast; (2) stabilizing the margin, particularly when import costs or currency move against the firm; and (3) limited growth in operating expenses (sales, support, and corporate overhead) so that scale increases contribution margin as opposed to merely increasing losses. Efficiency might also be sustained through the MyHWE platform that enhances monitoring and utilization of fleet- helping customers realize greater value per vehicle- that lowers churn and to increase renewal/ expansion economics over time.

7.3 Exit strategy options and the valuation logic behind them

The exit strategy developed by HW Electro must be presented as a range of plausible options that will be provided once the company clears the milestones in the operation:

Strategic acquisition (preferably in case the company demonstrates demand + distribution): A legacy OEM, parts distributor, fleet leasing system, or logistics integrator may acquire HW Electro to obtain (i) a Kei-EV presence, (ii) fleet connections, and (iii) a distribution model that enables services. This trend usually favors those ventures that exhibit repeatable conversion of fleet as opposed to single sales.

IPO (provided scale and reporting preparedness are attained): IPO viability will be based on the ability to grow revenues over time, plausible margins, and an apparent pathway to profitability. With initial volatility, the IPO story message needs to focus on a justifiable niche, contracts/pipeline and a pathway to unit economics that resembles a scaled platform, rather than that of a one-product importer.

Sponsor-led buyout / LBO-style exit (illustrative case): Your LBO-style framework shows how returns can amplify if HW Electro reaches a much larger EBITDA base and exits at a market multiple. In the model, the purchase year (2030) assumes 7.2x EV/EBITDA on ¥/USD-equivalent EBITDA of 7,722.4, implying a purchase EV of 55,331.3 and an equity purchase price of 62,067.9 after adjusting for debt and cash. The sources-and-uses schedule then funds total uses of 68,219.2, including transaction fees of 1.5% (931.0), with capital structure split between sponsor equity of 27,930.5 (40.94%) and newly issued debt of 40,288.6 (59.06%).

On the same construct exit side, the model multiplies the same multiple with a far greater trailing EBITDA (181,578.6) to give an exit EV of 1,301,017.7 and an implied after net debt equity value of 1,283,896.3. This creates a 115.0% sponsor IRR and 46.0x cash-on-cash of the base case presented. When writing the report, it would be helpful to expressly declare that such LBO case is a high-upside scenario, which relies on aggressive operating scale and successful multi-supported exit environment.

7.4 Sensitivity and what actually drives exit outcomes

To make the discussion of exit realistic, it is important to point out that the outcomes of sponsor/VC exit are largely predetermined by: (1) exit multiple, (2) exit timing, (3) EBITDA realization, and (4) leverage and debt paydown. The sensitivity tables show that the trend here is that cash-on-cash returns are higher when exit multiples are high and when the time to exit is longer, as would be expected in the context of compounding EBITDA effects and deleveraging effects.

A caution to consider in your story: the displayed figures of the IRR sensitivity are very large in the first years (e.g. the IRRs have 4 digits). In the report, it is possible to provide an explanation that such short holding periods + such large modeled value creation can mathematically produce outsized IRRs, and that your base-case should be used as a directional indicator (to show which levers are the most important) not as an accurate prediction. An acceptable form of presentation would be: Exit multiple and EBITDA delivery are the two most powerful drivers; timing and capital structure is the question of how much of such value goes to equity holders.

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Appendix

Input Item	Value	Source / Citation	Rationale
1. Valuation Currency	**USD ($)**	*Internal Assumption*	Model is built in USD to align with NASDAQ listing requirements and investor reporting.
2. Risk-Free Rate (R_f)	**4.50%**	**US Department of the Treasury** (Daily Treasury Par Yield Curve Rates)	Based on the 10-Year US Treasury Note yield (spot rate). This is the standard benchmark for risk-free assets in a USD-denominated model.
3. Market Risk Premium (MRP)	**6.00%**	**Aswath Damodaran (NYU Stern) / Kroll (Duff & Phelps)**	The standard US Equity Risk Premium. Kroll currently recommends an ERP range of 5.5%–6.0% for the US market.
5. Country Risk Premium	**0.50%**	**Damodaran Online** (Country Default Spreads and Risk Premiums)	An adjustment for Japan's sovereign rating (Moody's A1/S&P A+) relative to the US (Aaa), accounting for currency translation risks.
6. Size & Alpha Premium	**10.00%**	**Kroll (Duff & Phelps) Valuation Handbook** – *Guide to Cost of Capital*	"Micro-Cap" Premium (Decile 10). Companies with market caps <$200M historically require significantly higher returns to compensate for lack of liquidity and operational risk.
7. Tax Rate	**30.62%**	**Japan National Tax Agency (NTA) / KPMG Tax Rates Online**	The standard effective corporate tax rate for Tokyo-based firms (National + Local Inhabitants + Enterprise Tax). *Note: Tax jurisdiction is based on domicile (Japan), not currency.*
8. Terminal Growth Rate	**2.00%**	**US Federal Reserve (FOMC)**	Matches the Federal Reserve's long-term inflation target. In a USD model, the terminal cash flows will grow at least at the rate of US inflation.

Cost of capital. Private Equity Firm	
input variables :	
The recent rate for the debt	20.0%
Target Tax rate of the firm	21.0%
Tax rate of the comparables	21.0%
Debt / Equity, the firm Target	0.10
Debt / Equity, comparables	1.22
Beta calculation :	
Levered Beta, comparables	1.14
Unlevered Beta of comps and the firm	0.58
Levered Beta of the firm with the target d	0.63
CAPM. Cost of Equity:	
Risk free rate	4.5%
Market Rate (Nasdaq)	10.5%
Market Risk Premium (Nasdaq)	6.0%
Equity Risk Premium (ERP)	3.8%
Additional Private Equity Risk Premium (	10%
Cost of Equity for the firm	**18.3%**

1	**Inputs.**	**($ million, %, times)**
	Tax rate (comparables and the firm)	21%
	Current BV of debt (assuming = MV)	4,100
	Debt held constant (MV)	4,100
	Debt to equity ratio of the comparables (MV)	1.22
	Target debt to equity ratio of the firm (MV)	**0.10**
	Levered Beta of comparable firms	1.14
	T-bill (Average)	4.5%
	Debt rate	20.00%
	Market Risk premium	6%
	Additional Private Equity Risk Premium (IRM, DRP…)	10%
	Constant Growth rate after year 6 (2029)	2%

2	**Discount Rate.**	
	Unlevered Beta (comparables and the firm)	0.58
	Levered Beta (the firm)	0.63
	Cost of Equity (CAPM, unlevered)	17.99%
	Cost of Equity (CAPM, levered)	18.27%
	WACC	**18.04%**

3 Calculating Free Cash Flows.	2024A	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
EBIT (Earnings Before Interest Tax)		(2,137)	(3,683)	(12,479)	(19,511)	(15,067)	7,293	28,240	58,720
- Interest Expense		(820)	(615)	(492)	(410)	(369)	(328)	(328)	(328)
= EBT		(2,957)	(4,298)	(12,971)	(19,921)	(15,436)	6,964	27,912	58,392
- Tax		-	-	-	-	-	(1,463)	(5,862)	(12,262)
= Net Income		(2,957)	(4,298)	(12,971)	(19,921)	(15,436)	5,502	22,051	46,130
+ Depreciation		58	65	86	132	205	330	513	748
- Capital expenditure		(236)	(471)	(1,709)	(2,844)	(4,462)	(8,002)	(10,306)	(13,273)
- Change in Working capital		(3,111)	2,185	(5,049)	(5,137)	(5,488)	(11,500)	1,067	1,506

4 Free Cash Flow to Firm (FCFF) Model	2024A	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
Free Cash Flows of the Firm		(4,978)	(1,131)	(16,530)	(23,263)	(21,648)	(13,411)	13,584	35,370
Terminal Value									224,897
= Total FCFFs		**(4,978)**	**(1,131)**	**(16,530)**	**(23,263)**	**(21,648)**	**(13,411)**	**13,584**	**260,267**
= Enterprise Value (WACC Model)	**$31,835**								
- Current Debt	4,100								
= Equity Value	**$27,735**								

5 Free Cash Flow to Equity (FCFE) Model	2024A	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
Free Cash Flows of the Equity		(6,247)	(2,519)	(19,643)	(27,770)	(25,182)	(13,670)	13,325	35,111
Terminal Value at year 6									220,172
= Total FCFEs		**(6,247)**	**(2,519)**	**(19,643)**	**(27,770)**	**(25,182)**	**(13,670)**	**13,325**	**255,283**
Equity Value (Levered Cost of Equity)	**$21,787**								

Purchase year	2030
EV to EBITDAPurchase Multiple	**7.2**
x Purchase year EBITDA	**7,722.4**
= Purchase EV (Consideration as of today)	**55,331.3**
- Existing Debt	5,220.3
+ Cash on Balance sheet	11,956.8
= Equity Purchase Price (to Existing Shareholders)	62,067.9
Sponsor Equity from LBO holdings (New Shares)	**27,930.5**
Sponsor Equity / Total Sources	40.94%

Assumes 55% LBO

Exit year	2030
EBITDA Exit Multiple	**7.2**
x Exit year EBITDA (trailing)	**181,578.6**
= Exit EV	**1,301,017.7**
- Exit year Net Debt	17,121.4
= Implied Equity Value	1,283,896.3
- Management Stake	-
= Sponsor Equity at Exit	1,283,896.3
Sponsor IRR	115.0%
Sponsor Cash-on-Cash	46.0

Income Statement

All figures in USD thousands unless stated

Years	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
Revenue	**1,436**	**1,830**	**2,357**	**5,884**	**28,479**	**71,103**	**127,500**	**228,629**	**294,451**	**379,223**
Growth(x times)			*1.3*	*2.5*	*4.8*	*2.5*	*1.8*	*1.8*	*1.3*	*1.3*
Cost of goods sold	1,903	2,242	2,875	6,603	29,401	67,532	111,409	183,793	217,770	258,029
Gross profit	**(468)**	**(412)**	**(518)**	**(719)**	**(922)**	**3,571**	**16,091**	**44,836**	**76,680**	**121,194**
Gross Margin (%)	*-33%*	*-22%*	*-22%*	*-12%*	*-3%*	*5%*	*13%*	*20%*	*26%*	*32%*
Research and development	1,104	219	283	588	2,278	4,266	6,375	9,145	11,778	15,169
Selling and marketing	1,219	981	707	1,471	5,696	11,377	12,750	6,859	8,834	11,377
General and administrative	9,872	3,865	471	588	2,278	4,266	6,375	11,431	14,723	18,961
Depreciation	171	111	58	65	86	132	205	330	513	748
Other operating expenses	265	78	101	252	1,218	3,041	5,453	9,778	12,593	16,219
Operating Profit	**(13,098)**	**(5,666)**	**(2,137)**	**(3,683)**	**(12,479)**	**(19,511)**	**(15,067)**	**7,293**	**28,240**	**58,720**
Operating Margin (%)	*-912%*	*-310%*	*-91%*	*-63%*	*-44%*	*-27%*	*-12%*	*3%*	*10%*	*15%*
Interest expense	(110)	(450)	(820)	(615)	(492)	(410)	(369)	(328)	(328)	(328)
Other income (expense), net	(101)	13	0	0	0	0	0	0	0	0
Total Net Investment Income	(11)	100	100	100	100	100	100	100	100	100
Total Irregular (Income)/Expenses	(85)	0	0	0	0	0	0	0	0	0
Pretax Income	**(13,405)**	**(6,002)**	**(2,857)**	**(4,198)**	**(12,871)**	**(19,821)**	**(15,336)**	**7,065**	**28,013**	**58,492**
Pretax Margin (%)	*-934%*	*-328%*	*-121%*	*-71%*	*-45%*	*-28%*	*-12%*	*3%*	*10%*	*15%*
Income tax expense	(873)	0	0	0	0	0	0	(1,484)	(5,883)	(12,283)
Net Income	**(14,278)**	**(6,002)**	**(2,857)**	**(4,198)**	**(12,871)**	**(19,821)**	**(15,336)**	**5,581**	**22,130**	**46,209**
Net Margin (%)	*-994%*	*-328%*	*-121%*	*-71%*	*-45%*	*-28%*	*-12%*	*2%*	*8%*	*12%*
Other comprehensive loss, net of tax:										
Foreign currency translation adjustment	0	0	0	0	0	0	0	0	0	0
Comprehensive Profit	**(14,278)**	**(6,002)**	**(2,857)**	**(4,198)**	**(12,871)**	**(19,821)**	**(15,336)**	**5,581**	**22,130**	**46,209**

2 Balance

All figures in USD thousands unless stated	Years	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
Assets											
Current assets											
Cash and cash equivalents		39	12	236	471	1,709	3,555	6,375	11,431	14,723	18,961
Excess Cash		*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*	*0*
Accounts receivable, net		2,970	0	581	1,209	4,682	9,740	15,719	28,187	36,302	46,754
Inventory, net		1,603	1,135	945	1,990	8,055	16,652	27,471	45,319	53,697	63,624
Prepaid and other current assets		693	1,840	1,895	1,952	2,010	2,071	2,133	2,197	2,263	2,331
Total current assets		**5,306**	**2,987**	**3,657**	**5,622**	**16,456**	**32,018**	**51,698**	**87,134**	**106,984**	**131,669**
Property and equipment, net		2,552	2,758	2,994	3,465	5,174	8,018	12,480	20,482	30,788	44,061
Total Long Term Investments		3	3	3	3	3	3	3	3	3	3
Total Prepayments and Deposits, Non-Current		30	32	32	32	32	32	32	32	32	32
Deferred offering costs		337	375	375	375	375	375	375	375	375	375
Total assets		**8,228**	**6,156**	**7,026**	**9,462**	**22,005**	**40,411**	**64,553**	**107,992**	**138,148**	**176,105**
Liabilities											
Current liabilities											
Accounts payable		820	3,456	709	1,357	4,833	11,101	18,314	30,213	35,798	42,416
Accrued expenses and other liabilities		743	1,335	1,375	1,417	1,459	1,503	1,548	1,595	1,642	1,692
Current Debt		3,787	3,528	3,528	3,528	3,528	3,528	3,528	3,528	3,528	3,528
Total Current Portion of Long Term Debt		205	938	966	995	1,025	1,056	1,087	1,120	1,154	1,188
Derivative and Hedging Liabilities, Current		20	47	49	50	52	53	55	56	58	60
Total Provisions, Current		431	424	424							
Total Deferred Liabilities, Current		36	33	33							
Other current Liabilities		56	104	104							
Total current liabilities		**6,098**	**9,865**	**7,187**	**7,346**	**10,897**	**17,241**	**24,532**	**36,511**	**42,180**	**48,883**
Noncurrent Debt		171	573	573	573	573	573	573	573	573	573
Total Provisions, Non-Current		25	0	0	2,994	2,994	2,994	2,994	2,994	2,994	2,994
Other Non-Current Liabilieties		17	17	18	19	19	20	20	21	21	22
Total liabilities		**6,310**	**10,455**	**7,778**	**10,932**	**14,482**	**20,827**	**28,119**	**40,099**	**45,768**	**52,472**
Equity											
Stockholders' deficit											
Additional Funds Needed		*0*	*0*	*6,405*	*9,884*	*31,747*	*63,629*	*95,816*	*121,693*	*124,050*	*109,094*
Common stock		7,891	7,891	7,891	7,891	7,891	7,891	7,891	7,891	7,891	7,891
Additional paid-in capital		15,631	15,631	15,631	15,631	15,631	15,631	15,631	15,631	15,631	15,631
Accumulated other comprehensive income		(20,679)	(26,682)	(26,682)	(26,682)	(26,682)	(26,682)	(26,682)	(26,682)	(26,682)	(26,682)
Accumulated deficit		(925)	(1,139)	(3,997)	(8,194)	(21,065)	(40,886)	(56,221)	(50,640)	(28,510)	17,699
Total stockholders' deficit		**1,917**	**(4,299)**	**(752)**	**(1,470)**	**7,522**	**19,584**	**36,435**	**67,893**	**92,380**	**123,633**
Total liabilities, temporary redeemable preferred stock and stock		**8,228**	**6,156**	**7,026**	**9,462**	**22,005**	**40,411**	**64,553**	**107,992**	**138,148**	**176,105**

3 Cashflow Statement

All figures in USD thousands unless stated	Years	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A	2031A	2032A
Cash flows from operating activities:											
Net loss		**(14,278)**	**(6,002)**	**(2,857)**	**(4,198)**	**(12,871)**	**(19,821)**	**(15,336)**	**5,581**	**22,130**	**46,209**
Changes in operating assets and liabilities:											
Adjustments to reconcile net loss to net cash used in operating act		**6,415**	**336**								
Accounts receivable		(2,925)	2,970	(581)	(628)	(3,472)	(5,059)	(5,979)	(12,468)	(8,115)	(10,451)
Inventory		(163)	467	190	(1,045)	(6,065)	(8,597)	(10,819)	(17,848)	(8,378)	(9,927)
Prepaids and other current assets		(528)	(1,148)	(55)	(57)	(59)	(60)	(62)	(64)	(66)	(68)
Accounts payable		(764)	2,390	(2,747)	648	3,476	6,268	7,213	11,899	5,585	6,618
Accrued expenses		638	1,084	40	41	43	44	45	46	48	49
Change in Provisions		1	3	2	2	2	2	2	2	2	2
Change in Deferred Assets/Liabilities		(336)	(42)	28	3,023	30	31	32	33	34	35
Change in Other Current Liabilities		263	(217)								
Net cash used in operating activities		**(11,676)**	**(158)**	**(5,980)**	**(2,213)**	**(18,916)**	**(27,192)**	**(24,904)**	**(12,819)**	**11,240**	**32,467**
Cash flows from investing activities:											
Capital expenditures		(623)	(127)	(236)	(471)	(1,709)	(2,844)	(4,462)	(8,002)	(10,306)	(13,273)
Net cash used in investing activities		**(623)**	**(127)**	**(236)**	**(471)**	**(1,709)**	**(2,844)**	**(4,462)**	**(8,002)**	**(10,306)**	**(13,273)**
Cash flows from financing activities:											
Total Issuance of/(Payments for) Common Stock, Net		9,827	0	0	0	0	0	0	0	0	0
Total Issuance of/(Payments for) Preferred Stock, Net		0	0	0	0	0	0	0	0	0	0
Total Issuance of/(Repayments for) Short Term Debt, Net		3,759	(259)	0	0	0	0	0	0	0	0
Total Issuance of/(Repayments for) Long Term Debt, Net		(800)	788	0	0	0	0	0	0	0	0
Total Issuance of/(Repayments for) Lease Financing		(37)	(50)	0	0	0	0	0	0	0	0
Change in Debt				0	0	0	0	0	0	0	0
Change in new common stock (AFN)				*6,405*	*3,479*	*21,863*	*31,882*	*32,187*	*25,877*	*2,357*	*(14,955)*
Net cash provided by financing activities		**12,748**	**479**	**6,405**	**3,479**	**21,863**	**31,882**	**32,187**	**25,877**	**2,357**	**(14,955)**
				5	**4**	**3**	**2**	**1**	**0**	**(1)**	**(2)**
Cash, cash equivalents and restricted cash at beginning of year		**4**	**39**	**12**	**200**	**996**	**2,234**	**4,081**	**6,900**	**11,957**	**15,248**
Net decrease in cash, cash equivalents and restricted cash		36	(28)	189	796	1,238	1,846	2,820	5,056	3,291	4,239
Cash, cash equivalents and restricted cash at end of year		**39**	**12**	**200**	**996**	**2,234**	**4,081**	**6,900**	**11,957**	**15,248**	**19,487**
	Check	0	0	(35)	525	525	525	525	525	525	525